

Bullish strategies. Interest rates were pricing in another Great Depression. Once the market prices in a Great Depression, you think, “Well, maybe not.” Ten-year yields were down near 2 percent. Things have to look really bad to justify that level. Once the outlook started to improve a little bit, yields could rise a lot from that level. So we went short long-term Treasuries, both outright and as a yield curve play. We went short the dollar, as a reversal of the prior flight-to-quality trade. We did a lot of different trades. Typically, in the portfolio, we will have 10 or 15 different trades on at any time. One reason why I am always hesitant to explain what trades we did is that if I get to the level of complexity of including all the trades, it can get very confusing. If I simplify it by saying that it’s a bit like these two or three trades, then people say, “Oh, you did that; that’s quite easy.” Well, it isn’t what we actually did, but you try to provide a simplification to make it understandable. Then people think that simplification is what you actually did. I think macro is most misunderstood when it is seen as storytelling. Storytelling is a nice way to talk about it, but it is only 10 percent of what is important.

And the other 90 percent?

Implementation and flexibility. You need to implement a trade in a way that limits your losses when you are wrong, and you also need to be able to recognize when a trade is wrong. George Soros has the least regret of anyone I have ever met. Even though he will sometimes play up to his public image as a guru who knows what is going on, it is in no sense what he does as a money manager. He has no emotional attachment to an idea. When a trade is wrong, he will just cut it, move on, and do something else. I remember one time he had this huge FX position. He made something like \$250 million on it in one day. He was quoted in the financial press talking about the position. It sounded like a major strategic view he had. Then the market went the other way, and the position just disappeared. It was gone. He didn’t like the price action, so he got out. He doesn’t let his structural views on how he believes the market will play out get in the way of his trading. That is what strikes me about really good money managers—they don’t get attached to their ideas. The danger in the narrative I have been giving you is that it may lead to the false impression that what you need to do to make lots of